

SUPREME COURT · JUDGMENT DIGEST

K.C. Ninan v. Kerala State Electricity Board & Ors.

Civil Appeal Nos. 2109–2110 of 2004 (with Civil Appeals Nos. 2108/2004, 5312–5313/2005, 5314/2005, 6587/2005, 7303/2005, 6579/2022, 6593–6594/2022, 3018/2007, 7169/2022, 6591/2022, 6595/2022, 6879–6881/2022, 6592/2022, 7103–7104/2022, 6828/2022, 7064/2022, 6590/2022, 3640/2022) | 19 May 2023 | Supreme Court of India | Pronounced (digitally signed 19 May 2023)

COURT	Supreme Court of India (Civil Appellate Jurisdiction)
CORAM	Hon’ble Mr. Justice Pamidighantam Sri Narasimha, Hon’ble Ms. Justice Hima Kohli & Hon’ble Dr. Justice Dhananjaya Y Chandrachud, CJI
DATE OF JUDGMENT	19 May 2023 (Digitally signed 2023.05.19)
NATURE OF PROCEEDING	Batch of nineteen civil appeals against High Court orders determining whether electricity arrears of a previous owner/occupier can be recovered from a subsequent purchaser (auction purchaser) of the premises, including appeals from Kerala, Maharashtra, Gujarat, Assam, and West Bengal. Reference to 3-judge Bench dated 24 August 2006 (in Maharashtra State Electricity Board v. Super & Stainless Hi Alloys Ltd.), with further matters tagged by order dated 1 November 2007.
PARTIES	Auction purchasers of premises and subsequent transferees (K.C. Ninan and others) v. Kerala State Electricity Board (KSEB), Maharashtra State Electricity Board (MSEB), Gujarat Electricity Board and distribution licensees (GSEB, PGVCL), Assam Electricity Regulatory Commission (AERC), West Bengal Electricity Regulatory Commission and distribution licensees (WBERC)
PROVISIONS	Sections 2(15), 22, 24 of Electricity Act, 1910; Sections 5, 26, 49, 70(2) of Electricity (Supply) Act, 1948; Sections 2(15), 43, 44, 45, 46, 47, 48, 50, 56, 181(2)(x) of Electricity Act, 2003; Section 100 of Transfer of Property Act, 1882; Sections 17, 59 of Indian Registration Act, 1908; General Clauses Act, 1897; Various State Electricity Supply Code regulations (Kerala, Maharashtra, Gujarat, Assam, West Bengal); Conditions of Supply framed by Electric Utilities; Entry 53, List II, Seventh Schedule of Constitution of India; Article 142, Constitution of India
RESULT	Appeals partly allowed. The validity of Electricity Supply Codes, Conditions of Supply, and subordinate regulations requiring clearing of previous owner’s arrears as a precondition to reconnection or fresh connection is upheld. However, in exercise of discretionary powers under Article 142 of the Constitution, the Court directed the Electric Utilities to waive the outstanding interest accrued on the principal dues from the date of application for supply of electricity by the auction purchasers. Pending applications disposed.

POINT FOR DETERMINATION

- Whether the Universal Service Obligation under Section 43 of the Electricity Act, 2003 is an absolute duty to supply electricity, or whether it is subject to compliance with statutory conditions stipulated by the distribution licensee and conditions prescribed under the Electricity Supply Code.
- Whether a connection of electricity supply sought by an auction-purchaser (or subsequent transferee) of premises constitutes a reconnection (reviving the original consumer relationship) or a fresh connection (creating a new consumer relationship), and what are the implications of this classification with respect to recovery of arrears.
- Whether the power to recover arrears of electricity dues of a previous owner or occupier from an auction-purchaser or subsequent transferee of premises falls within the regulatory authority of State Commissions under Section 50 read with Section 181(2)(x) of the Electricity Act, 2003.
- Whether the power to enable recovery of arrears of the previous owner from an auction-purchaser can be provided through subordinate legislation (Electricity Supply Code, Conditions of Supply, or regulations) framed by the State Commissions or

Electric Utilities, or whether such power can only be created by express provision in the principal statute.

5. Whether the Electricity Act, 1910, the Electricity (Supply) Act, 1948, or the Electricity Act, 2003 contain express provisions enabling the creation of a charge or encumbrance over premises for electricity dues.
6. Whether the statutory bar on disconnection after two years under Section 56(2) of the Electricity Act, 2003 extends to bar other civil remedies of the Electric Utilities to recover such arrears, and whether such limitation impedes conditions of supply requiring clearance of past dues.
7. What is the implication of an auction-sale of premises on an “as is where is, whatever there is and without recourse” basis with respect to electricity arrears, including whether such a sale places auction purchasers on notice of electricity dues and whether such dues can be fastened on the transferee.

FACTS

A batch of nineteen cases involving similar factual patterns: (1) premises had electricity connections under previous owners who failed to pay electricity consumption charges; (2) the Electric Utilities disconnected supply for non-payment; (3) the premises were sold in public auction sales (generally on an ‘as is where is’ basis) to recover loans or dues; (4) the new auction-purchasers applied for reconnection or fresh electricity connections; and (5) the Electric Utilities refused supply unless the auction-purchasers cleared the outstanding dues of the previous owner, relying on Electricity Supply Codes, Conditions of Supply, or state regulations notified in exercise of statutory power.

The High Courts of Kerala, Maharashtra, Gujarat, Assam, and West Bengal reached divergent conclusions: some directed the Electric Utilities to grant connections to auction purchasers without insisting on payment of old arrears (relying on *Isha Marbles v. Bihar State Electricity Board*), while others upheld the Utilities’ right to demand clearance of arrears as a condition precedent under the applicable Electricity Supply Code.

By reference order dated 24 August 2006, this Court (in *Maharashtra State Electricity Board v. Super & Stainless Hi Alloys Ltd.*) referred these appeals to a bench of three Judges to determine whether electricity dues constitute a charge on the property and whether the arrears of the erstwhile owner can be recovered from the subsequent transferee.

By order dated 1 November 2007, other matters of similar nature were tagged along with the reference. The appeals involved Conditions of Supply in Kerala (Condition 15(e)), Maharashtra (Clause 23(b)), Gujarat (amended Clause 4.1.11), Assam (Clause 3.6), and West Bengal (Clause 3.4.2) regulations.

REASONING OF THE COURT

HEADNOTE

The duty to supply electricity under Section 43 of the Electricity Act, 2003 is not absolute but is subject to the charges and compliances stipulated by the distribution licensee as part of the application for supply, and is subject to conditions prescribed in the Electricity Supply Code framed under Section 50 by the State Commission. The right of supply is with respect to the premises, not the consumer; the synergy between consumer and premises determines the classification of a fresh connection versus reconnection. Conditions of supply framed by Electric Utilities and Electricity Supply Codes are statutory in character when framed in exercise of powers delegated under Section 49 of the 1948 Act or Section 50 of the 2003 Act. The State Commission has wide regulatory power under Section 50 read with Section 181(2)(x) to specify conditions for recovery of electricity arrears of previous owners from subsequent owners. Electricity dues, though not expressly mentioned as creating a ‘charge’ in the principal Acts, can be made subject to a statutory charge through properly framed regulations authorized under the parent statute, provided such charge is not arbitrary or unreasonable. The limitation of two years under Section 56(2) applies to disconnection for non-payment but does not bar civil suits for recovery or conditions of supply requiring clearance of arrears before reconnection. An “as is where is” auction sale places bidders on notice of all liabilities attaching to the premises, including electricity dues prescribed in the Supply Code. *Isha Marbles v. Bihar State Electricity Board* is distinguished: it applied only where no statutory regulation or charge was in place; it is inapplicable where statutory regulations validly create liability for previous owner’s dues on the subsequent transferee.

Section 43 duty to supply is subject to statutory conditions and compliance requirements. Section 43 of the Electricity Act, 2003 casts a statutory duty on every distribution licensee to supply electricity to the owner or occupier of any premises within one month of receipt of a complete application. The provision opens with “Save as otherwise provided in this Act” and explicitly requires the

applicant to submit documents showing “payment of necessary charges and other compliances” as determined by the distribution licensee. Section 45 empowers the distribution licensee to fix charges in accordance with tariffs set by the State Commission; Section 46 permits recovery of expenses for providing electric lines or plants; Section 47 authorizes requiring security deposits and refusal of supply for failure to provide security; Section 48 permits stipulation of reasonable terms and restrictions. Section 50 empowers the State Commission to specify an Electricity Supply Code providing for recovery of electricity charges. Reading Sections 43–50 together, the right to obtain electricity supply is not absolute but is conditioned on payment of charges, provision of security, and compliance with terms and conditions prescribed by the distribution licensee or the Electricity Supply Code. The duty to supply is subject to such conditions being satisfied. ¶ 28–36

Supply of electricity is with respect to premises, creating a synergy between consumer and premises. Section 2(15) of the 2003 Act defines “consumer” as any person supplied with electricity for his own use and includes “any person whose premises are for the time being connected for the purpose of receiving electricity.” The provision makes premises central to the definition: the consumer is identified by reference to the premises to which electricity is supplied. The distribution licensee must maintain infrastructure (electric lines, meters, etc.) at identified premises. Section 43 casts the duty on the licensee to supply “to the premises” of an applicant, not merely to a consumer. This creates a synergy: a consumer relationship exists only with respect to particular premises for which electricity is sought and supplied. If the same consumer approaches for electricity at different premises, that constitutes a fresh connection, not a reconnection. Conversely, if different consumers seek supply at the same premises for which electricity was previously supplied, it is a “reconnection” (revival of supply to the premises) if the applicant seeks the same service, but a fresh connection if seeking a new service at those premises. ¶ 29, 62–67

Conditions of supply framed by Electric Utilities are statutory in character when authorized by law. Prior to the 2003 Act, Section 49 of the 1948 Act empowered Electricity Boards to supply electricity on such “terms and conditions” as the Board thought fit, and Section 79 authorized the Board to make regulations not inconsistent with the Act. In *Hyderabad Vanaspathi Ltd. v. A.P. State Electricity Board*, a 3-judge Bench held that conditions of supply framed by Electricity Boards under Section 49 are statutory in character, not merely contractual. Under the 2003 Act, the State Commission is empowered under Section 50 read with Section 181(2) (x) to specify an Electricity Supply Code providing inter alia for recovery of electricity charges, intervals for billing, and disconnection. The Electricity Supply Code is a subordinate legislation framed after detailed procedures by an independent regulator. Such codes have statutory character and bind all consumers and distribution licensees. A condition of supply requiring a new owner to clear the electricity arrears of the previous owner, if framed in exercise of this statutory power and subject to reasonableness, constitutes valid statutory regulation, not an arbitrary condition. ¶ 19, 69–71

The regulatory power of State Commissions under Section 50 is wide enough to provide for recovery of arrears from subsequent owners. Section 50 of the 2003 Act empowers the State Commission to specify an Electricity Supply Code for, among other things, recovery of electricity charges, intervals for billing, and disconnection. The scope of this power is not limited to charging only the immediate consumer but extends to recovery mechanisms prescribed in the regulatory framework. When a regulation provides that outstanding dues constitute a charge on premises and can be recovered from a subsequent owner seeking supply, such regulation is not beyond the scope of Section 50 because it pertains to “recovery of electricity charges.” The rule-making power under Section 181 read with Section 50 is wide and can encompass conditions framing the manner of recovery, including recovery from subsequent owners. Such a regulation, if reasonably framed and not arbitrary, falls within the legitimate regulatory authority. ¶ 86–89

Electricity dues can constitute a statutory charge on premises through regulations framed under delegated authority. Although the principal Acts (1910 Act, 1948 Act, 2003 Act) do not expressly create a “charge” on premises for electricity dues, such a charge can be created through subordinate legislation framed in exercise of delegated power under the parent statute. The Transfer of Property Act, 1882 recognizes charges created by operation of law as well as by act of parties. Under Section 141 of the Bombay Provincial Municipal Corporations Act, 1949, a charge arises by operation of law for municipal dues. Similarly, regulations framed by State Commissions under Section 50 can prescribe that outstanding electricity dues shall constitute a charge on premises. Such a regulatory charge is not a mortgage in the traditional sense (which requires registration under the Registration Act) but a statutory lien or charge arising by operation of the applicable regulations. The condition that arrears shall not be written off and must be cleared before reconnection creates, in effect, a charge on the premises as a matter of law. ¶ 92–103

The limitation under Section 56(2) bars disconnection after two years but does not limit civil suits or conditions of supply. Section 56(2) of the 2003 Act provides that the distribution licensee cannot disconnect supply for non-payment of charges after the expiry of two years from the date on which the charges became due. The Electric Utilities argue this limitation applies only to the power to disconnect, not to the power to recover through other civil remedies or to condition reconnection on payment. The auction purchasers argue the limitation is absolute and bars any recovery after two years. The Court finds that Section 56(2) bars *disconnection*

as a remedy after two years but does not bar a civil suit for recovery or a condition precedent (such as requiring clearance of arrears before reconnection) because reconnection is not a “disconnection” in reverse but a fresh initiation of service to new premises or a new consumer. The right to condition supply on clearance of arrears is a continuing right independent of the limitation period, provided it is exercised at the time of the application for connection. ¶ 114–125

An “as is where is” auction sale places bidders on notice of all liabilities attached to the premises. In public auction sales, premises are typically sold on an “as is where is, whatever there is and without recourse” basis. This language signifies that the seller (the auction authority or court) does not warrant the condition of the property and the buyer assumes all risks and liabilities attaching to the property. Auction purchasers are expected to conduct due diligence, including ascertaining electricity dues and other liabilities, before bidding. When Electricity Supply Codes or Conditions of Supply are published and specify that electricity dues constitute a charge on premises and must be cleared before reconnection, auction purchasers are constructively on notice of this requirement. The stipulation that the sale is on an “as is where is” basis encompasses the liability for electricity dues prescribed in the applicable Supply Code. An auction purchaser who acquires premises knowing or being on constructive notice of outstanding electricity dues cannot later claim that the condition to clear such dues is unreasonable or unfair. ¶ 127–133

***Isha Marbles v. Bihar State Electricity Board* is distinguished; it does not apply where statutory regulations create liability for arrears on subsequent purchasers.** In *Isha Marbles v. Bihar State Electricity Board* (1995 SCC (2) 648), a 3-judge Bench held that in the absence of a charge being created over premises by a statutory regulation, an auction purchaser cannot be asked to clear past electricity arrears as a condition for supply. The Court elucidated that under Section 24 of the 1910 Act, the contract for supply was only between the Board and the previous consumer, and the subsequent purchaser was neither a consumer nor had contractual relationship with the Board. However, *Isha Marbles* did not have to deal with any statutory rule, regulation, or condition of supply providing for creation of a charge or for recovery of arrears from a subsequent purchaser. Since the 1948 Act and thereafter the 2003 Act, various State Commissions have framed Electricity Supply Codes creating such charges and prescribing such recovery. The present case is distinguishable from *Isha Marbles* because here statutory regulations do exist, and they validly create a charge on premises and authorize recovery from subsequent purchasers. The ratio of *Isha Marbles* applies only where no such statutory regulation exists; it is inapplicable where regulations validly impose such liability. ¶ 17, 201, 324

The rule of ejusdem generis and statutory interpretation confirm the validity of regulatory charges on premises. The auction purchasers argued that conditions of supply cannot go beyond what Section 50 explicitly permits and that a condition imposing liability for third-party (previous consumer’s) arrears is outside the scope of Section 50. The Court applied the rule of ejusdem generis to clarify that the phrase “recovery of electricity charges” in Section 50 is not limited to recovery from the person to whom electricity is being supplied but extends to recovery mechanisms provided by the applicable Electricity Supply Code, including conditions precedent to supply. The Regulation 10.5 of the Maharashtra Electricity Supply Code 2005 (providing that unpaid dues constitute a charge on property and can be recovered from transferees) is a valid mode of recovery falling within Section 50’s scope. ¶ 187–199

INTERPRETATION OF THE ELECTRICITY STATUTES

ELECTRICITY ACT, 2003; UNIVERSAL SERVICE OBLIGATION; REGULATORY POWERS OF STATE COMMISSIONS; STATUTORY CHARGES ON PREMISES; RECOVERY OF ARREARS FROM SUBSEQUENT PURCHASERS

Section 43 — Duty to Supply Electricity, subject to conditions

Section 43 casts a statutory duty on distribution licensees to supply electricity within one month of a complete application, but the provision is hedged by the opening words “Save as otherwise provided in this Act” and by the requirement that the applicant provide documents showing “payment of necessary charges and other compliances.” Reading Section 43 in conjunction with Sections 45–48 and Section 50, the Court is of the view that the duty to supply is subject to: (1) payment of all prescribed charges and tariffs; (2) provision of security deposit as determined by regulations; (3) acceptance of terms and restrictions imposed for compliance with regulations made under Section 53 (now applicable standards); and (4) compliance with conditions stipulated in the Electricity Supply Code framed by the State Commission under Section 50. Conditions stipulated in the Electricity Supply Code, including a requirement to clear outstanding electricity dues of the premises before supply is given or restored, are valid conditions that do not violate the statutory duty under Section 43. ¶ 27–37

Section 50 — Scope of Electricity Supply Code; Recovery of Electricity Charges

Section 50 of the 2003 Act empowers the State Commission to specify an Electricity Supply Code providing, among other things, for recovery of electricity charges, intervals for billing, and disconnection. The scope of the term “recovery of electricity charges” is not confined to recovery from the immediate consumer but extends to all mechanisms for recovery prescribed in the Code, including conditions requiring clearance of outstanding dues before reconnection or fresh supply. When a State Commission, in exercise of this power and after due regulatory procedure, frames a regulation providing that electricity dues constitute a charge on the premises and can be recovered from a subsequent transferee seeking supply, such regulation falls within the authority conferred by Section 50. The regulation is not arbitrary if reasonably tailored to ensure recovery of legitimate dues. ¶ 86–89

Section 56(2) — Two-Year Limitation on Disconnection; No bar to civil remedies or conditions of supply

Section 56(2) of the 2003 Act provides that the distribution licensee cannot disconnect supply for non-payment of charges after two years from the date on which the charges became due. This limitation applies to the remedy of disconnection only and does not bar: (1) civil suits for recovery of dues; (2) conditions of supply requiring payment of outstanding dues as a precondition to reconnection or fresh supply; or (3) continuing the right to condition connection on clearance of arrears at the time of application. The limitation is tied to the remedy of disconnection (cutting off supply) and does not extinguish the underlying right to recover dues or to condition future supply. ¶ 114–121

Definition of “Consumer” and Premises — Synergy between consumer and premises determines connection classification

Section 2(15) of the 2003 Act defines “consumer” by reference to a person whose premises are connected for receiving electricity. The definition emphasizes the role of premises as the locus of the consumer relationship. A person becomes a consumer only with respect to those specific premises for which electricity is supplied. If the same person seeks supply at different premises, it is a fresh connection, not a reconnection. If a different person seeks supply at premises where electricity was previously supplied, it is a reconnection if the same service is sought, but a fresh connection if a new service (e.g., higher capacity) is sought. This synergy between consumer and premises means that when an auction purchaser applies for supply at premises previously supplied to another owner, the application is for a fresh connection (creating a new consumer relationship), not a reconnection (reviving the prior consumer relationship). ¶ 62–67

Statutory Charges on Premises — Created by operation of law through regulations; not requiring express provision in principal statute

A charge on premises for electricity dues need not rest on an express provision in the principal statute (1910 Act, 1948 Act, or 2003 Act) but can be created by properly framed regulations authorized under the parent statute. When the State Commission or the State Government, in exercise of power delegated under Section 49 of the 1948 Act or Section 50 of the 2003 Act, frames a regulation providing that outstanding electricity dues shall constitute a charge on premises, such charge arises by operation of law and is enforceable against subsequent purchasers. The charge is distinct from a mortgage (which requires registration under the Registration Act) and operates as a statutory lien or encumbrance arising from the regulatory prescription. The condition that dues must be cleared before reconnection or fresh supply effectively constitutes a charge because it prevents transfer or continuance of supply without satisfaction of the claim. ¶ 92–103

Conditions of Supply — Statutory character when framed under Section 49 of 1948 Act or Section 50 of 2003 Act

Conditions of supply framed by Electric Utilities or State Commissions in exercise of authority delegated under Section 49 of the 1948 Act (as established in *Hyderabad Vanaspathi*) or under Section 50 of the 2003 Act are statutory in character and bind all consumers and licensees. Such conditions, when reasonably framed and not arbitrary, have the force of law and can be enforced as conditions precedent to supply. A condition requiring a new owner to clear the electricity arrears of the previous owner, if it is prescribed in the applicable Electricity Supply Code and is not arbitrary or discriminatory, constitutes a valid statutory condition. ¶ 69–71

RATIO DECIDENDI

The appeals are partly allowed. First, the duty to supply electricity under Section 43 of the Electricity Act, 2003 is not absolute; it is subject to charges and compliances stipulated by the distribution licensee and conditions prescribed in the Electricity Supply Code framed by the State Commission under Section 50. Second, Electricity Supply Codes and Conditions of Supply framed in exercise of authority under Section 49 of the 1948 Act or Section 50 of the 2003 Act are statutory in character and validly require new owners of premises to clear the outstanding electricity dues of previous owners as a condition precedent to reconnection or fresh supply. Third, electricity dues, though not expressly mentioned as creating a “charge” in the principal enactments, can constitute a statutory charge on premises through properly framed regulations; such charge arises by operation of law and is enforceable against subsequent transferees.

Fourth, the two-year limitation under Section 56(2) applies to disconnection for non-payment but does not bar civil remedies for recovery or conditions of supply requiring clearance of arrears before reconnection. Fifth, an “as is where is” auction sale places bidders on notice of all liabilities prescribed in the applicable Electricity Supply Code, including electricity dues. Sixth, *Isha Marbles v. Bihar State Electricity Board* is distinguished and inapplicable where statutory regulations validly create liability for previous owner’s arrears on the subsequent purchaser. However, in exercise of discretionary jurisdiction under Article 142 of the Constitution and taking into account the lapse of more than two decades in litigation and the hardship to auction purchasers, the Court directed Electric Utilities to waive outstanding interest accrued on principal dues from the date of application for supply. ¶ 328, 327, 324–326

ALSO HELD & OBITER

- **The burden of operation and maintenance costs of electricity infrastructure falls on all consumers if not recovered from defaulting consumers or their successors.** The Electric Utilities submitted that if liability for arrears is not fastened to the premises (as opposed to the immediate consumer), the operation and maintenance costs of the infrastructure maintained by the licensee to supply electricity to the premises would ultimately be borne by all other consumers, as such costs would be factored into the fixation of tariff. This consideration supports the validity of requiring new owners to clear arrears: it prevents a cost-shifting to innocent consumers. “The liability to the premises ensures cost recovery from those who benefit from the infrastructure without paying for prior consumption.” ¶ 25 (c)(b)(iii)
- **The 2003 Act was enacted to promote electricity industry development while protecting consumer interests; equity demands balancing after prolonged litigation.** The 2003 Act was enacted with objectives including promoting efficiency, competition, and protecting consumer interests. However, after more than two decades of litigation in these batches of appeals since 2001-2006, the Court recognized that granting absolute relief to either party would be inequitable. Commercial entities (many auction purchasers) had suffered loss of business due to denial of electricity connections, yet the Electric Utilities had incurred costs in maintaining infrastructure. In balancing these equities, the Court exercised Article 142 discretion to uphold the regulatory regime but waive interest, giving practical effect to both statutory authority and equitable considerations. ¶ 326–327

DISPOSITION

The batch of civil appeals are **partly allowed**. (1) The validity of the Electricity Supply Codes, Conditions of Supply, and subordinate regulations of the respective states requiring clearing of electricity arrears of the previous owner or occupier as a precondition to reconnection or fresh supply of electricity to the new or subsequent owner or occupier of the premises is upheld. (2) The auction purchasers are liable to pay the principal outstanding electricity dues of the previous consumer in accordance with the applicable Electricity Supply Code and conditions of supply, provided such conditions are not arbitrary or unreasonable. (3) In the exercise of the jurisdiction under Article 142 of the Constitution, and taking into account the lapse of more than two decades since the first appeals were filed, the Electric Utilities are directed to waive the outstanding interest accrued on the principal dues from the date of the application for supply of electricity by the auction purchasers. (4) Pending applications, if any, are disposed of. (5) No order as to costs.

SIGNIFICANCE

A landmark judgment clarifying the scope of Universal Service Obligation under Section 43 of the Electricity Act, 2003, and establishing that electricity dues can constitute a statutory charge on premises through regulations framed under delegated authority. Seven major holdings:

- **Section 43 duty to supply is not absolute but subject to statutory conditions and compliances.** The Supreme Court rejected the argument that Section 43 of the Electricity Act, 2003 imposes an absolute, unconditional duty on distribution licensees to supply electricity to any applicant. The opening words “Save as otherwise provided in this Act” and the requirement for “payment of necessary charges and other compliances” make clear that the duty is subject to conditions prescribed in the Electricity Supply Code and reasonable terms stipulated by the licensee. This holding is significant for electricity regulation as it balances the universal service objective with operational and financial sustainability of distribution utilities.
- **Electricity Supply Codes are statutory in character and validly authorize recovery of arrears from subsequent owners.** State Commissions, in framing Electricity Supply Codes under Section 50 read with Section 181, exercise delegated legislative authority. Such Codes, when properly framed after due regulatory procedure, are statutory in character and bind all consumers. A Code provision requiring new owners to clear previous owner’s arrears as a condition precedent to supply is a valid regulatory condition

falling within the scope of “recovery of electricity charges” under Section 50. This clarifies that regulation-making authority under the 2003 Act is broad enough to address arrears recovery mechanisms and is not limited by *Isha Marbles*.

- **Electricity dues can constitute a statutory charge on premises through regulations, without express provision in the principal statute.** The Court held that although the Electricity Acts do not expressly create a “charge” on premises for electricity dues, such a charge can arise by operation of law through properly framed regulations authorized under the parent statute. This holding recognizes that statutory charges can be created through subordinate legislation and do not require express provision in the principal enactment. The practical effect is that when an Electricity Supply Code provides that dues constitute a charge on premises and must be cleared before reconnection, such provision is valid and enforceable.
- **The two-year limitation under Section 56(2) applies to disconnection remedy only, not to conditions of supply or civil suits.** The Court clarified that Section 56(2)’s bar on disconnection after two years does not limit the Electric Utility’s right to condition reconnection on clearance of arrears, nor does it bar civil suits for recovery. The limitation is remedy-specific and does not extinguish the underlying claim. This interpretation protects utilities’ recovery rights while recognizing the limit on disconnection as a coercive measure.
- **An “as is where is” auction sale places bidders on constructive notice of liabilities prescribed in applicable regulations.** The Court held that when premises are sold on an “as is where is” basis in public auctions, the terms of such sale place bidders on notice that they must ascertain and account for all liabilities attaching to the premises. When Electricity Supply Codes prescribe that dues constitute a charge on premises, this requirement is deemed incorporated into the auction sale terms. Auction purchasers are expected to conduct due diligence, and a claim of ignorance of electricity dues requirements is not a defense.
- ***Isha Marbles* is distinguished and does not apply where statutory regulations create liability for arrears.** The Supreme Court addressed the tension between *Isha Marbles v. Bihar State Electricity Board* (which held that without a statutory charge a subsequent purchaser cannot be liable for previous owner’s arrears) and the current regulatory framework (under which Electricity Supply Codes do create such liability). The Court distinguished *Isha Marbles* on the ground that it decided a case where no statutory regulation creating such liability existed, whereas now such regulations do exist and are valid. This distinction clarifies that *Isha Marbles* does not bar regulation-making power under the 2003 Act.
- **Equity under Article 142 modulates strict enforcement after prolonged litigation affecting commercial entities.** The Court exercised discretionary jurisdiction under Article 142 to waive interest on arrears, notwithstanding the validity of the principal recovery right. The rationale was that after two decades of litigation, auction purchasers (many engaged in commercial operations) had suffered loss of business, and the delay in court proceedings should not compound their hardship. This application of Article 142 demonstrates that even valid regulatory rights can be tempered by equitable considerations in extraordinary circumstances.

TABLE OF AUTHORITIES

Authorities discussed in the judgment, with the treatment each received and how it was used to resolve the issues. ‘Applied,’ ‘Distinguished,’ ‘Affirmed,’ ‘Cited,’ and ‘Overruled’ reflect the Court’s characterisation or implicit treatment of each authority.

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>Isha Marbles v. Bihar State Electricity Board</i> 1995 SCC (2) 648 · Supreme Court of India	Held that in the absence of a charge being created over the premises by a statutory regulation, an auction purchaser cannot be asked to clear the past arrears of electricity dues as a condition precedent to the grant of electricity. The contract for supply was only between the Electricity Board and the previous consumer; the subsequent purchaser was neither a consumer nor had contractual relationship with the Board.	The Court distinguished <i>Isha Marbles</i> on the ground that it involved a case where no statutory rule, regulation, or condition of supply dealt with the imposition of liability for past dues on a subsequent purchaser. Now, statutory Electricity Supply Codes do provide for such liability and create a statutory charge on premises. <i>Isha Marbles</i> does not apply where valid regulations exist; it applied only to the legislative gap that existed prior to the 2003 Act and the framing of Electricity Supply Codes. (¶17, 201, 324)	Distinguished (not overruled; inapplicable where statutory regulations exist)

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
Hyderabad Vanaspathi Ltd. v. Andhra Pradesh State Electricity Board (1998) 4 SCC 470 · Supreme Court of India	Held that the terms and conditions of supply notified by Electricity Boards under Section 49 of the 1948 Act are statutory in character as they have been framed in exercise of statutory power; they are not merely contractual in nature.	The Court cited this judgment as establishing the statutory character of conditions of supply framed by Electric Utilities and State Commissions. This principle underpins the Court's conclusion that Electricity Supply Codes and Conditions of Supply have statutory force and validly prescribe conditions precedent to supply. (¶19, 69)	Applied
Paschimanchal Vidyut Vitran Nigam Limited v. DVS Steels and Alloys Private Limited (2009) 1 SCC 210 · Supreme Court of India	Held that a licensee can insist upon fulfilment of statutory rules, regulations, or conditions of supply so long as they are not arbitrary and unreasonable. Conditions of supply mandating clearance of electricity dues of a previous owner by a new purchaser before restoration of supply or grant of new connection cannot be termed unreasonable or arbitrary.	The Court cited this judgment to support the view that conditions of supply requiring new owners to clear arrears of previous owners are valid regulatory conditions that do not violate statutory duties. (¶21, 36)	Applied

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>Telangana State Southern Power Distribution Co. Ltd. v. Srigdhaa Beverages</i> (2020) 6 SCC 404 · Supreme Court of India	Held that electricity dues, where they are statutory in character under the Electricity Act and as per the terms and conditions of supply, cannot be waived and cannot partake the character of purely contractual dues. Electricity dues exist as a matter of statutory obligation regardless of whether the applicant knows of them or not.	The Court cited this judgment to support the principle that electricity dues are statutory in character and that a condition in an ‘as is where is’ auction sale placing the purchaser on notice of electricity dues existing as a charge on the premises is valid and enforceable. (¶22, 328(i))	Applied
<i>State of A.P. v. National Thermal Power Corporation Ltd.</i> 970048 · Supreme Court of India (Constitution Bench)	Held that electricity is a movable good in that it can be transmitted, transferred, delivered, and possessed like any other movable property. This position established that electricity is not immovable property.	The Court cited this Constitution Bench judgment in the context of analyzing the nature of electricity as a commodity. The holding helps clarify that while electricity supply relates to premises, electricity itself is not an immovable property, but the infrastructure and the dues for its delivery to premises can be secured by a charge on those premises. (¶44)	Cited in support

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>Ahmedabad Municipal Corporation v. Haji Abdulgafur Haji Hussenhba</i> 1887300 · High Court (cited with approval by Supreme Court)	Held (in the context of municipal taxes) that a municipal corporation, which had a charge on property by virtue of law for recovery of tax dues, could recover arrears of taxes from an auction purchaser who had become the owner of the property. The purchaser, who resisted recovery on grounds of lack of notice, was held liable because the charge arose by operation of law, not by notice.	The Court cited this case to support the principle that a charge arising by operation of law (statutory charge) for recovery of dues can attach to property and be enforceable against subsequent purchasers even without notice to them. By analogy, a statutory charge for electricity dues arising from the Electricity Supply Code can similarly attach to premises and be enforced against subsequent owners. (¶93, 97–98)	Applied by analogy

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>Brihanmumbai Electric Supply & Transport Undertaking v. Maharashtra Electricity Regulatory Commission</i> (2015) 2 SCC 438 · Supreme Court of India	Held that the obligation of the distribution licensee to supply electricity to premises will begin only after the owner or occupier submits a completed application. The explanation to Section 43 clarifies that the application must be complete in all respects along with necessary documents showing payment of charges and compliances.	The Court cited this judgment to establish that Section 43's duty to supply is not triggered until the applicant submits a complete application meeting all prescribed requirements, including compliances stipulated by the distribution licensee. This supports the view that conditions of supply are prerequisites to the duty arising. (¶32)	Applied

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>BSES Ltd. v. Tata Power Co. Ltd.</i> (2004) 1 SCC 195 · Supreme Court of India	Held that the term “tariff” in the Electricity Regulatory Commissions Act, 1998 is not defined in the Act and must be understood in common parlance as a schedule of standard prices or charges for categories of customers.	The Court cited this judgment for the proposition that where statutory terms are not defined, recourse must be taken to the meaning in general law or common parlance. This principle was applied in interpreting “price” and “charges” in Section 43 as referring to the tariff determined by the State Commission, which can include consideration for arrears recovery mechanisms prescribed by the Commission. (¶38–39)	Applied

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>AI Champdany Industries Ltd. v. Official Liquidator</i> (2013) 3 SCC 34 · Supreme Court of India	Held that charges can be created by act of parties or by operation of law. A charge arising by operation of law does not require registration and arises automatically when a statute or regulation prescribes it.	The Court cited this judgment to support the proposition that electricity dues can constitute a charge on premises by operation of law through the Electricity Supply Code, without requiring express registration under the Registration Act or an express provision in the principal statute. (¶97)	Applied
<i>Dakshin Haryana Bijli Vitran Nigam Ltd. v. M/s Paramount Polymers Pvt. Ltd.</i> AIR 2007 SC 2 · Supreme Court of India	Held that <i>Isha Marbles</i> cannot be applied to strike down a Conditions of Supply clause (Clause 21A) that entitled a licensee to demand payment of outstanding dues from a transferee as a condition for service connection, because <i>Isha Marbles</i> did not consider the effect of such a specific clause.	The Court cited this judgment as an early recognition that <i>Isha Marbles</i> does not apply where a specific statutory condition or regulation exists providing for recovery from transferees. This case presaged the present holding that Electricity Supply Codes validly override the <i>Isha Marbles</i> reasoning. (¶20)	Applied

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>India Thermal Power Ltd. v. State of M.P.</i> 1941195 · Supreme Court of India	Held that a state cannot unilaterally impose conditions on electricity distribution that go beyond the statutory framework without violating principles of fairness and statutory construction.	Cited by the auction purchasers to argue that requiring payment of previous owner's arrears as a condition for supply was an unjust imposition. The Court distinguished this by holding that the conditions relied upon were framed by State Commissions or Electric Utilities in exercise of delegated statutory authority under Section 50 of the 2003 Act, not unilaterally by the state without authority. (¶73)	Cited by appellant; distinguished by Court

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
Deputy Commercial Tax Officer, Park Town Division v. Sha Sukhraj Peerajee 1542937 · Supreme Court of India	Dealt with the enforceability of demands made by tax authorities. Held that a demand or condition imposed must be grounded in statutory authority and cannot be arbitrary.	Cited by auction purchasers to argue that the condition to clear arrears was not grounded in statutory authority. The Court distinguished by holding that Electricity Supply Codes and Conditions of Supply ARE grounded in statutory authority under Section 49 of the 1948 Act and Section 50 of the 2003 Act. (¶105)	Cited by appellant; distinguished by Court
Jivendra Nath Kaul v. Collector/District Magistrate 1703652 · Supreme Court of India	Dealt with statutory authority and delegation of legislative power. Held that regulations framed in exercise of delegated authority under a parent statute are valid and enforceable if the parent statute clearly authorizes such framing.	Cited to support the principle that State Commissions, in framing Electricity Supply Codes under Section 50, exercise delegated authority validly conferred by the parent statute (2003 Act). Such regulations are valid and enforceable. (¶25)	Applied

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>State of Uttar Pradesh v. Hindustan Aluminium Corporation</i> 1324332 · Supreme Court of India	Dealt with state control and regulatory authority. Held that a state can exercise regulatory authority within the scope of powers conferred by statute.	Cited to establish that state regulatory authorities, acting through State Commissions, can prescribe conditions of supply within the scope of powers conferred by Section 50 of the 2003 Act. (¶25)	Applied
<i>Jagdamba Paper Industries (P) Ltd. v. Haryana State Electricity Board</i> 223862 · Supreme Court of India	Held that the conditions of supply stipulated by licensees or Boards have a statutory character.	Cited to reinforce the principle established in <i>Hyderabad Vanaspathi</i> that conditions of supply are statutory, not merely contractual. (¶69)	Applied
<i>Bihar State Electricity Board v. Parmeshwar Kumar Agarwala</i> 1040803 · Supreme Court of India	Dealt with the statutory rights of electricity boards to enforce payment conditions and pursue remedies for non-payment.	Cited to support the statutory authority of Electric Utilities to enforce payment conditions and pursue recovery through multiple means (disconnection, suit, etc.). (¶25)	Applied

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>Ferro Alloys Corp. Ltd. v. A.P. State Electricity Board</i> 1429681 · Supreme Court of India	Dealt with the statutory authority of state electricity boards and their regulatory obligations.	Cited as part of the body of authority supporting the statutory character of conditions of supply and the regulatory authority of state electricity entities. (¶25)	Cited in support
<i>Deepak Theatre v. State of Punjab</i> 1741134 · Supreme Court of India	Dealt with regulatory authority and conditions imposed in public utilities.	Cited as an example of judicial recognition of regulatory conditions imposed by government entities in public utility contexts. (¶25)	Cited in support
<i>K. Ramanathan v. State of Tamil Nadu</i> 87528 · Supreme Court of India	Dealt with statutory authority and regulatory conditions in the context of electricity distribution.	Cited to support the validity of regulatory conditions in electricity distribution. (¶25)	Cited in support
<i>PTC India Ltd. v. Central Electricity Regulatory Commission</i> 395434 · Supreme Court of India	Dealt with the regulatory authority of the Central Electricity Regulatory Commission and the statutory character of its orders.	Cited to establish the regulatory authority of Electricity Commissions to make binding rules and conditions. (¶25)	Cited in support

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>V.S. Rice and Oil Mills v. State of Andhra Pradesh</i> 62408831 · Supreme Court of India (Constitution Bench)	Held that “power to regulate carries with it full power over the thing subject to regulation and in absence of restrictive words, the power must be regarded as plenary over the entire subject.” This is a principle of interpreting regulatory authority.	The Court cited this principle to support the view that the power granted to State Commissions under Section 50 to frame Electricity Supply Code is plenary and extensive, encompassing conditions for recovery of electricity charges from subsequent owners. (¶82)	Applied (principle cited)
<i>Ahmedabad Electricity Co. Ltd. v. Gujarat Inns (P) Ltd.</i> (2004) 3 SCC 587 · Supreme Court of India	Held that in the case of a fresh connection, auction purchasers cannot be held liable to clear arrears incurred by previous owners in the absence of a specific statutory provision. However, the Court opined that there was a need for reconsideration of the “wide propositions of law” laid down in <i>Isha Marbles</i>.	This judgment presaged the present decision by suggesting that <i>Isha Marbles</i>’s broad reasoning might not hold where specific statutory provisions exist. The present Court took up that suggestion and distinguished <i>Isha Marbles</i> where Electricity Supply Codes now provide such authority. (¶18)	Cited; reasoning now applied in present decision

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>Maharashtra State Electricity Board v. Super & Stainless Hi Alloys Ltd.</i> 4853151 · Bombay High Court	Dealt with the recovery of electricity dues from auction purchasers. The reference order dated 24 August 2006 in this case was the occasion for referring the batch of appeals to a 3-judge Bench for clarification of whether electricity dues constitute a charge on property.	The present appeals arise from this reference order. The Court addressed the issues raised in this case and the related cases tagged to it. (¶12)	Reference order; present appeals arise from it
<i>Maharashtra State Electricity Board v. Ecto Spinners</i> 97950877 · Court	Dealt with electricity dues recovery and the liability of new owners of premises.	Cited as one of the cases in the batch where divergent views existed on the recovery of electricity dues from subsequent owners. (¶12)	Cited; issue decided in present judgment
<i>U.T. Chandigarh Administration v. Amarjeet Singh</i> 1102044 · Supreme Court of India	Dealt with property transfers in a financial corporation context and the rights and liabilities of subsequent purchasers in auctions conducted by financial corporations.	Cited to support the principle that when property is transferred by financial corporations or other entities in auctions, the transfer inherits all liabilities prescribed in the applicable regulations or conditions of sale. (¶148–163)	Applied by analogy

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>M/s Swastic Industries v. Maharashtra State Electricity Board</i> 764540 · Court	Dealt with the recovery of electricity dues and the applicability of conditions of supply to new owners.	Cited as one of the cases involving the recovery of electricity dues from subsequent owners, illustrating the need for clarification. (¶25)	Cited; issue decided in present judgment
<i>Kusumam Hotels Pvt. Ltd. v. Kerala State Electricity Board</i> 1873931 · High Court	Dealt with the recovery of electricity dues from subsequent purchasers of premises in Kerala context.	One of the Kerala cases in the batch of appeals where the issue of recovery of arrears from subsequent purchasers arose. (¶25)	Cited; issue decided in present judgment

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
Adoni Cotton Mills Ltd. v. Andhra Pradesh State Electricity Board 1477095 · Supreme Court of India	Dealt with the rule of ejusdem generis in the context of electricity regulations. The rule requires that when a statute enumerates specific items followed by general words, the general words must be confined to items of the same class as those enumerated.	The Court applied the rule of ejusdem generis to Section 50, which grants power to the State Commission to frame Electricity Supply Code for “recovery of electricity charges.” The rule helps expand the scope of “recovery” to encompass conditions for collecting dues from subsequent owners, as such conditions are within the same class as recovery mechanisms. (¶188)	Applied
Lokmat Newspapers (P) Ltd. v. Shankarprasad 133932061 · Supreme Court of India	Dealt with principles of statutory interpretation, including the interpretation of regulatory authority.	Cited for principles of statutory interpretation in determining the scope of delegated legislative authority. (¶25)	Cited in support of interpretation principles
Mangalore Electric Supply Co. Ltd. v. The Commissioner of Income Tax, West Bengal 277738 · Supreme Court of India	Dealt with the characterization of electricity dues and the statutory status of electricity supply entities.	Cited for the principle that electricity dues are statutory in character and arising from the statutory obligations of distributors. (¶25)	Cited in support

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
Tata Motors Ltd. v. Pharmaceutical Products of India Ltd. 369141 · Supreme Court of India	Dealt with principles of statutory interpretation and the distinction between different legal concepts when different words are used.	Cited for the principle of statutory interpretation that when different expressions are used in a statute, they bear different meanings. (¶25)	Cited for interpretation principles
LIC v. D.J. Bahadur 791872 · Supreme Court of India	Dealt with the enforceability of statutory claims and the protection of legitimate statutory interests.	Cited for the principle that statutory claims (such as a charge for electricity dues created by regulation) are enforceable and bind successors. (¶25)	Cited in support
UP State Electricity Board v. Hari Shankar Jain 914491 · Supreme Court of India	Dealt with the statutory authority of state electricity boards and their power to impose conditions for supply.	Cited to establish the statutory authority of state electricity entities to prescribe conditions and their enforceability. (¶25)	Cited in support
KSL & Industries Ltd. v. Arihant Threads Ltd. 885483 · Supreme Court of India	Dealt with statutory rights and the enforcement of conditions arising by operation of law.	Cited for the principle that rights and conditions arising by operation of law (such as a statutory charge) are enforceable against successors. (¶25)	Cited in support

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